GMS WEEKLY

Your Source for Recycling News

February 3rd, 2023
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Week 5

Highlights:

- **Encouraging.**
- **Cape sale.**
- **Demand increase.**
- **IMF talks.**
- **Warship tragedy.**
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QUOTE of the WEEK

"Try to be a rainbow in someone's cloud."

– Maya Angelou

MARKET COMMENTARY

SOLID SHOWINGS!

Another solid showing from sub-continent markets has given encouragement to Ship Owners and Cash Buyers, to start testing potential prices with firm candidates. Indeed, several deals have been concluded off the back of these improved numbers, including one more Capesize bulker at firm levels basis an 'as is' Singapore delivery.

Now that the Chinese New Year holidays have concluded, the expected bounce in freight markets has yet to materialize, so an increased number of dry bulk and container units (in particular) have come under serious negotiations for recycling.

Even global currencies are starting to settle against the U.S. Dollar and steel plate prices have found a relatively steady place, as demand and a firm buying interest is increasing across all markets, even for Pakistan and Bangladesh, where it is often not feasible to do deals there due to the ongoing L/C restrictions.

Talks on the much-needed IMF loans are still ongoing in each country, to bring back some essential liquidity and U.S. Dollars needed to establish fresh Letters of Credit so that domestic recyclers can start to import vessels / steel once again.

In Bangladesh, there are certain / select end buyers who can open L/Cs with private financing (away from the government bank restrictions) or with Usance L/Cs, but this still provides only limited options to Cash Buyers / Owners with vessels to sell.

Finally, Turkey too continues its stable streak with firming steel prices and a currency that's found a new plateau to rest on, resulting in vessel prices firming an additional USD 10/MT this week.

In other news, the Brazilian government owned warship Sao Paolo has tragically and unnecessarily been scuttled off the coast of Brazil with a plethora of hazardous materials on board, all while NGOs and outside observers (with no real knowledge of ship recycling) keep putting pressure on various countries (including Turkey) to deny entry of vessels for recycling.

For week 5 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	India	Positive	545 / LDT	555 / LDT	565 / LDT
2	Bangladesh	Positive	540 / LDT*	550 / LDT*	560 / LDT*
3	Pakistan	Weak	525 / LDT*	535 / LDT*	545 / LDT*
4	Turkey	Weak	310 / LDT	320 / LDT	330 / LDT

**Subject L/C approval*

BANGLADESH

HAMPERED!

LC issues.

As much as domestic recyclers desire to acquire fresh units, the lack of L/C financing is severely hampering local efforts.

Indeed, a Capesize bulker was committed basis an 'as is' Singapore delivery and has all the hallmarks of a Bangladeshi resale. However, the ongoing restrictions on financing mean that any substantially sized vessels are unlikely to end up here for the time being.

Tonnage elsewhere.

Similarly, there are also a number of mostly container vessels working for only HKC recycling into India, which rules Bangladesh out on that tonnage as well.

Fundamentals are steady for the time being as local steel plate prices have been unchanged for the duration of the week (likely due to minimal steel trading on account of the dearth of tonnage recently delivered into Chattogram), in addition to the Bangladeshi Taka that weakened marginally past BDT 106.50.

It would certainly be interesting to see how the Bangladeshi market will perform in the coming weeks, given that there are increasing rumours of the Bangladeshi government being a few steps closer to concluding the IMF loan and hopefully return this market into the fray.

NO MARKET SALES REPORTED

INDIA

ABLE TO ACQUIRE!

India has been the chief market of most industry players attention of late, as they continue to secure any of the admittedly small number of recycling units available so far for the year (primarily capes and containers), whilst competing Bangladesh and Pakistan continue to suffer on account of their L/C limitations.

Chief buyers.

There was one more Capesize bulker sale this week as the Chinese controlled SAMC INTEGRITY (24,181 LDT) was committed at a decent USD 518/LDT basis an 'as is' Singapore delivery and with bunkers included in the sale – as India remains the most likely destination.

Fundamentals ok.

The currency continues to trade in the low-to-mid Rs. 82 against the U.S. Dollar, whilst steel prices have fluctuated a bare minimal amount for the week but remain in overall positive territory.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
SAMC RESPONSIBILITY	Bulker	24,181	USD 518/LT LDT ('as is' Singapore)

PAKISTAN

LITTLE POINT!

Not competitive.

Pakistan remains far from competitive at the moment, with the lowest numbers across the sub-continent and the most uncertain / unstable destination for L/C financing.

As such, many of the recent sales here have failed – only to be resold elsewhere at higher / more improved numbers, as Cash Buyers or Owners are not even checking with the Gadani market, so precarious is the situation here at present.

Steel firm.

Steel plate prices have declined as well (about USD 12/Ton this week) and the currency plummets further past PKR 276 against the U.S. Dollar, as Gadani Recyclers continue to witness increasingly deteriorating fundamentals across the country of late and until there is stability and banks allow local Recyclers to establish fresh L/Cs once again, there is little to discuss where Pakistan is concerned.

NO MARKET SALES REPORTED

TURKEY

FURTHER ON!

On the back of firming import steel prices and a currency that has found fair footing around TRY 18.80 against the U.S. Dollar, the Turkish market has pushed on further with vessel prices finding themselves improving an additional USD 10/MT this week.

USD 10/MT.

While there is still no information on market tonnage being actively worked on, local associates continue to advise that a few yards are in talks for some private units basis a Spring delivery.

As such, as the dry bulk markets face possible decline, Turkey may finally be in a position to snag some units.

Snag units.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *Queen Elizabeth II has a stand-in to make sure the sun won't get in her eyes. Ella Slack has a similar height and stature to the queen, so before big events, she'll do a rehearsal to avoid any royal pains like the sun getting in Her Majesty's eyes. Slack has been doing it for three decades but isn't allowed to sit in the throne, so she has to squat above it.*
- *Shadows are darker on the Moon. On Earth, the atmosphere scatters more sunlight, so our shadows aren't too dark. But on the Moon, shadows are so dark that Neil Armstrong said he had trouble seeing where he was going.*
- *Some sea cucumbers fight with their guts (literally). When threatened, they'll shoot out their internal organs, which are poisonous to predators. They'll sometimes get rid of their entire digestive systems—but the organs grow back.*
- *There's a graveyard on the moon. Most of the 200 tons of trash on the moon is space junk and ephemera crash-landed or left behind by the 12 astronauts who have visited since 1969: abandoned satellites, spent rockets, cameras, backpacks, and golf balls. But here's one of the more morbid moon facts: Among the detritus on the moon are the ashes of Eugene Shoemaker, one of the founders of the field of planetary science, sent skyward by NASA in a polycarbonate capsule.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
No holidays in February	February 04 – February 10 February 18 – February 25

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
February 21 – Shaheed Day	February 08 – February 11 February 21 – February 24

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
January 21 – 27 – Spring Festival **No holidays in February**	February 05 – Kashmir Solidarity Day	**No Holidays in February**

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ALANG - Port Position as of February 03, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Evgeniy Zotov	734	Reefer	Arrived January 18
2	Lian	9,534	Bulk Carrier	Arrived February 02
3	Maersk Aberdeen	5,914	Container	Arrived February 02
4	Okra 1	21,018	Bulk Carrier	Arrived February 01
5	Pioner Nikolaeva	3,899	Fishing Vessel	Arrived January 25
6	*Setia (Under Tow)*	*10,050*	*Drilling Vessel*	*Beached January 28*
7	Uni 1	7,098	Container	Arrived January 31
Total Tonnage		**58,247**		

CHATTOGRAM - Port Position as of February 03, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	**Ariana**	**15,672**	**Tanker**	**Arrived June 22**
2	Don	9,543	Bulk Carrier	Arrived January 25
3	*Fu Ocean*	*3,532*	*General Cargo*	*Beached January 28*
4	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
5	*Hang Shun*	*1,217*	*Tanker*	*Beached January 28*
6	Harin Transport 20	898	General Cargo	Arrived January 30
7	Jasmine 201	9,928	Bulk Carrier	Arrived February 01
8	Rose	1,959	Chemical Tanker	Arrived February 02
9	**Winton T128**	**975**	**Bulk Carrier**	**Arrived June 23**
Total Tonnage		**60,608**		

GADANI - Port Position as of February 03, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Witty*	*23,001*	*Bulk Carrier*	*Beached January 27*
Total Tonnage		**23,001**		

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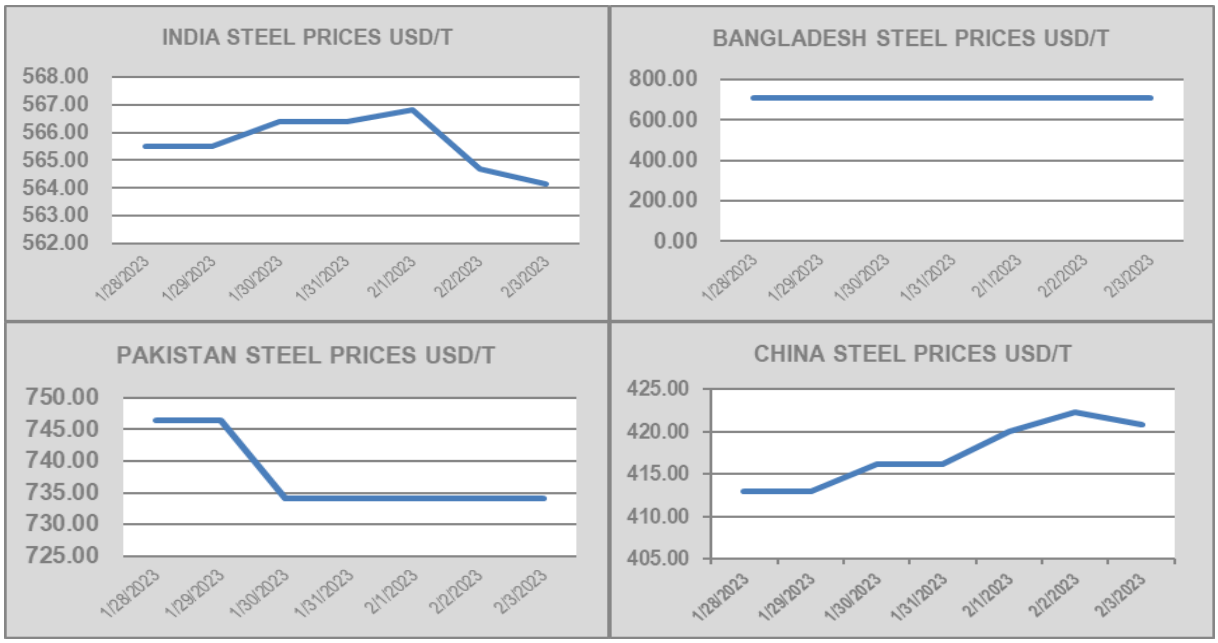
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
1/28/2023	565.51	46,100.00	746.38	196,000.00	710.78	72,500.00	413.01
1/29/2023	565.51	46,100.00	746.38	196,000.00	710.78	72,500.00	413.01
1/30/2023	566.41	46,400.00	734.08	196,000.00	710.78	72,500.00	416.26
1/31/2023	566.41	46,400.00	734.08	196,000.00	710.78	72,500.00	416.26
2/1/2023	566.82	46,400.00	734.08	196,000.00	710.78	72,500.00	420.05
2/2/2023	564.68	46,400.00	734.08	196,000.00	710.78	72,500.00	422.31
2/3/2023	564.13	46,400.00	734.08	196,000.00	710.78	72,500.00	420.88



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